

LoanServe — Home Loan Terms and Conditions

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Scope and Application

These terms govern every home loan sanctioned by LoanServe to a resident individual for the purchase, construction, extension or improvement of a residential property. They apply from the date of the sanction letter and continue until the account is closed and the title deeds are returned. Where a term here differs from a term in the sanction letter, the sanction letter prevails for that account. A home loan taken by a Non-Resident Indian applicant is governed additionally by the Non-Resident Indian Lending Policy.

Loan Parameters

The minimum home loan amount is Rs 15,00,000 and the maximum is Rs 1,50,00,000. Home loan tenures of 120, 180, 240, 300 and 360 months are offered. A processing fee of 0.35 percent of the sanctioned amount applies to home loans.

Security

The property financed is mortgaged to LoanServe by deposit of title deeds until full repayment. An independent legal and technical appraisal of the property is mandatory before disbursal.

Disbursal

Disbursal for an under construction property is released in stages linked to construction progress.

Charges and Fees

A legal appraisal fee of Rs 5,500 and a technical appraisal fee of Rs 4,500 are payable before disbursal and are not refundable if the applicant withdraws. A charge of Rs 1,500 applies for issue of a duplicate interest certificate or a duplicate amortisation schedule. A conversion fee of 0.25 percent of the outstanding principal applies where a borrower moves from a fixed rate to a floating rate during the tenure. A property document retrieval charge of Rs 2,000 applies where the borrower asks to inspect the deposited title deeds before closure.

Property and Title

The property must have a clear and marketable title, free of any prior mortgage, attachment or disputed succession. An approved building plan and an occupancy certificate are required for a completed property, and a commencement certificate for one under construction. Agricultural land, property on lease of less than thirty years, and property in an unauthorised layout are not accepted as security. The borrower must keep the property in good repair and must not let, sell or further encumber it without written consent.

Repayment and Prepayment

Repayment begins on the instalment due date recorded in the sanction letter, which falls in the month after the final disbursal. Pre-equated monthly instalment interest is payable each month on the amount disbursed until the full sanction has been drawn. Part prepayment and early closure of a home loan follow the Prepayment and Foreclosure Policy. Where the borrower chooses to reduce the tenure rather than the instalment after a part prepayment, a revised amortisation schedule is issued within seven working days.

Closure and Release of Security

On full repayment the original title deeds are returned at the servicing branch against acknowledgement, within fifteen working days of settlement. The charge registered with the Central Registry is satisfied within thirty days of closure and the borrower is sent confirmation. Where the borrower is unable to collect the deeds in person, they are released only to a person holding a specific power of attorney for that purpose. A

no dues certificate is issued along with the deeds and is the borrower's evidence that nothing further is owed on the account.

Definitions

'Deposit of title deeds' means the mortgage created by handing the original property documents to the lender. 'Stage disbursement' means release of the loan in parts, each linked to the progress of construction.

Worked Example

On a property assessed at Rs 80,00,000 the largest home loan available is 75 percent of that value, which is Rs 60,00,000.

Exceptions and Discretion

The loan to value ratio may be relaxed by up to five percentage points for an applicant with a bureau score above 800, with the approval of the Credit Committee. A tenure beyond 360 months is not offered under any circumstance. Where a property is jointly owned with a minor, the loan is not sanctioned until the guardianship position has been settled by a competent court. Any relaxation granted is recorded in the credit note for that account and is not a precedent for any other applicant.

Records and Evidence

The valuation report, the legal opinion and the title search report are retained for the life of the loan and for eight years after closure. Photographs of the property taken at each stage inspection are retained on the account file until the final disbursement is released. A borrower may obtain a copy of the valuation report on written request and on payment of the retrieval charge.

Related Policies

The Home Loan Terms and Conditions should be read with: Interest Rate Policy, Insurance Linkage Policy, Top-Up Loan Rules.

Regulatory and Compliance Notes

These terms are framed to comply with the fair practices code applicable to housing finance and with the directions on responsible lending in force. The annualised percentage rate, the total interest payable and every fee are set out in the key facts statement handed over before acceptance. No charge is levied that has not been disclosed in the key facts statement or in these terms.

Review and Governance

Issued by the Home Loans desk and reviewed whenever the legal and technical appraisal panel changes.